



HINDENBURG ALLEGES...

BRAZEN STOCK MANIPULATION AND ACCOUNTING FRAUD SCHEMES

SUBSTANTIAL DEBT, SHARE PLEDGING AND PRECARIOUS FINANCIAL FOOTING

SHELL COMPANIES IN MAURITIUS; ROUND-TRIPPING OF FUNDS

ADANI GROUP SUBJECT OF FOUR MAJOR GOVERNMENT FRAUD INVESTIGATIONS

RAJESH ADANI ACCUSED BY DRI FOR ALLEGED ROLE IN DIAMOND TRADING IMPORT/EXPORT SCHEME

SAMIR VORA ACCUSED BY DRI IN THE SAME DIAMOND TRADING SCAM

VINOD ADANI ALLEGEDLY MANAGED NETWORK OF OFFSHORE ENTITIES TO FACILITATE FRAUD

FOLLOWING TH

float. That made sense, but the Hindenburg report was totally unexpected,” says a banker familiar with the group. Another corporate banker who has lent to the group says equity valuation has little meaning. “We have never lent against equity. The Adani Group went for leveraged growth, which was at a time when debt was easily available. In the new scenario now, expansion will be difficult,” he says.

The view on the street is that until a strategic investor puts in cash in one of the operating firms, raising money would be a challenge. “That will entail a process of due diligence and can address some of the issues raised by Hindenburg,” says a banker. The conglomerate could still look at foreign banks, even as domestic lenders including State Bank of India have come under scrutiny over their exposure to the group. In fact, the bulk of the group’s incremental funding for new businesses and acquisitions in recent years has come through overseas sources like foreign banks and bonds. Large acquisitions, such as cement, have been fully funded by foreign banks, stated a report by financial services firm CLSA.

GOING AHEAD, while the Adani Group is among the Top 3 across the businesses it operates in—ports, airports, power, cements, solar panels, etc.—it would still need funds for expansion such as in Adani Ports, where 100 million metric tonnes capacity will be added, or the massive expansion for airports including the new one in Navi Mumbai, or to fund more buyouts in the cement sector. Undoubtedly, the terms of lending would be different now. “For any corporate, the credit line is its lifeblood. Any hindrance to that will have a cascading effect and at this point, it is an area of concern,” says Mahesh Singhi, Founder & MD of Singhi Advisors, an M&A advisory firm. Creditors and other bond holders, he says, need to take a long-term approach to the Adani Group businesses from now on. “That’s what they did when they lent money. Nothing should change when it comes to that. Adani is certainly not a Satyam and all its businesses are fundamentally well-placed.” Singhi says the assets are as hard and real as the liabilities are.

Indeed, the group’s assets are valued higher than even its astronomical debt. The total debt of the group’s seven listed entities—Adani Enterprises, Adani Ports & SEZ, Adani Power, Adani Green Energy, Adani Transmis-